

Sentix reinforces bottoming out signs, but with a downbeat tone

- The Sentix results for June showed a second consecutive increase, but the rebound remains unremarkable and the level low. Moreover, recent strikes between Iran and Israel confirm a breakthrough in peace talks remains easier said than done, keeping the Eurozone economy under pressure.
- The forward-looking expectations component continues to lead the way while the rise in current economic conditions was once again small, supporting our view of GDP growth stalled in Q2 with risks of a contraction.

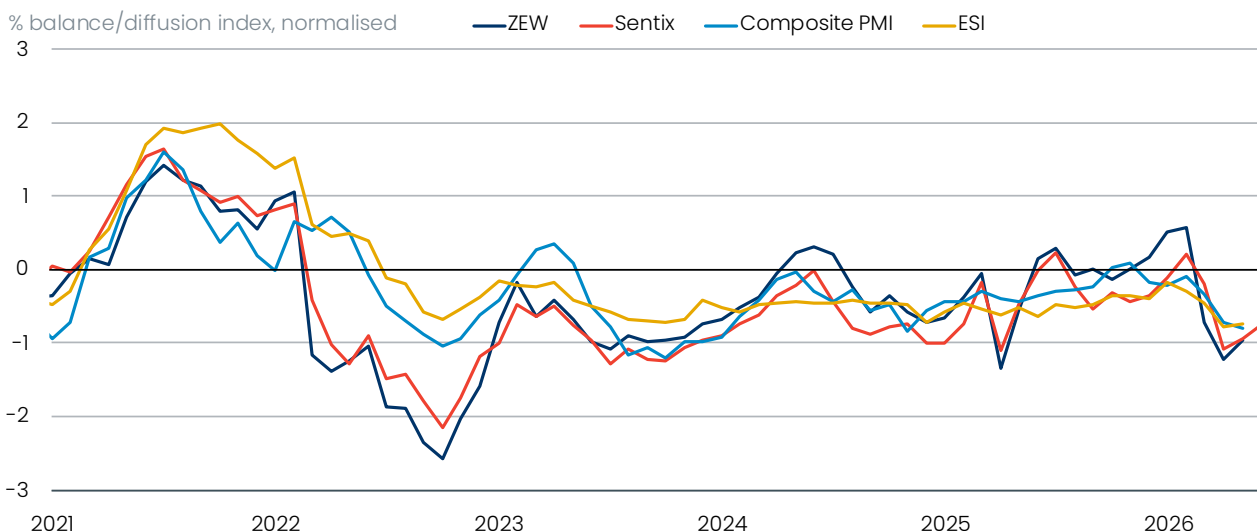
The Sentix survey of investor confidence kicked off the June round of Eurozone high-frequency indicators with a second consecutive increase. But similar to May, the monthly gain was modest considering the large plunge in the initial two months of the conflict in Iran. This means the main index for the Eurozone remains at low levels.

Gains remained broad-based, but the forward-looking expectations component led the way while the rise in current economic conditions was once again small. That's not an unusual pattern around inflection points. But the fact that the expectations component sank more in the early stages of the conflict is also playing a role, as it now has a bit more room to bounce back.

All told, most surveys for the Eurozone economy showed a slight rebound in May and today's preliminary evidence signalled this trend might continue in June, but not enough to reignite the Eurozone economy. It's hard to see the situation changing significantly without a breakthrough in US-Iran peace negotiations that would lead to a quick reopening of trade flows through the Strait of Hormuz. Fresh hostilities in the Middle East confirm that remains easier said than done, leaving the rise in sentiment on a shaky ground.

Chart 1: The Sentix surveys heralds further modest rebounds in June from a low base

Eurozone: Key surveys



Sources: Oxford Economics, Haver Analytics, S&P Global